

# MANAGING PROJECT RISK

*Assoc. Professor Darwin Kim Bulawan*



# Course Map

| Week Number | Inclusive Dates | Module Number | Assessments          | Topics                                                                                                                                         |
|-------------|-----------------|---------------|----------------------|------------------------------------------------------------------------------------------------------------------------------------------------|
| 1           | Sep 6           | 1             | Quiz                 | Course Introduction, Discussion of Deliverables, Introduction to IT Project Management, and Class Consultations and Submission of Deliverables |
| 2-3         | Sep 13 - 20     | 2             | Quiz                 | Managing Project Scope, and Class Consultations and Submission of Deliverables                                                                 |
| 4-5         | Sep 27, Oct 4   | 3             | Quiz                 | Managing Project Time and Class Consultations and Submission of Deliverables                                                                   |
| 6-7         | Oct 11 -18      | 4             | Quiz                 | Managing Project Cost and Class Consultations and Submission of Deliverables                                                                   |
| 8           | Oct 25          | -             | Exam                 | <b>Midterm Examination</b>                                                                                                                     |
| 9           | Nov 1           | -             |                      |                                                                                                                                                |
| 10-11       | Nov 8 - 15      | 5             | Quiz                 | Managing Project Leadership and Communication Management, and Class Consultations and Submission of Deliverables                               |
| 12-13       | Nov 22 - 29     | 6             | Quiz                 | Managing Project Risk, and Class Consultations and Submission of Deliverables                                                                  |
| 14-15       | Dec 6 - 13      | 7             | Quiz                 | Managing Project Procurement and Class Consultations and Submission of Deliverables                                                            |
| 16-18       | Dec 20 - Jan 3  | -             | -                    | Christmas Break                                                                                                                                |
| 19          | Jan 10          | -             | Report, Presentation | Class Presentations, and Class Consultations and Submission of Deliverables                                                                    |
| 20          | Jan 17          | -             | Exam                 | <b>Final Examination</b>                                                                                                                       |



## Learning Objectives

- Discuss Project Risk Management Processes
- Explain the process of identifying risks and create risk register
- Discuss the risk response strategies
- Discuss the concept of residual and secondary risks

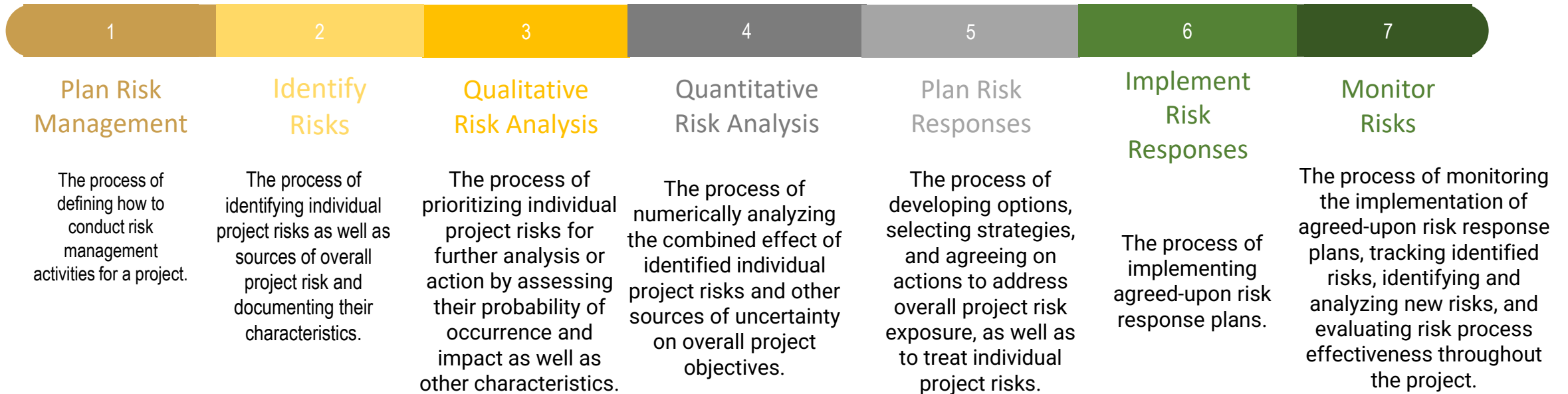


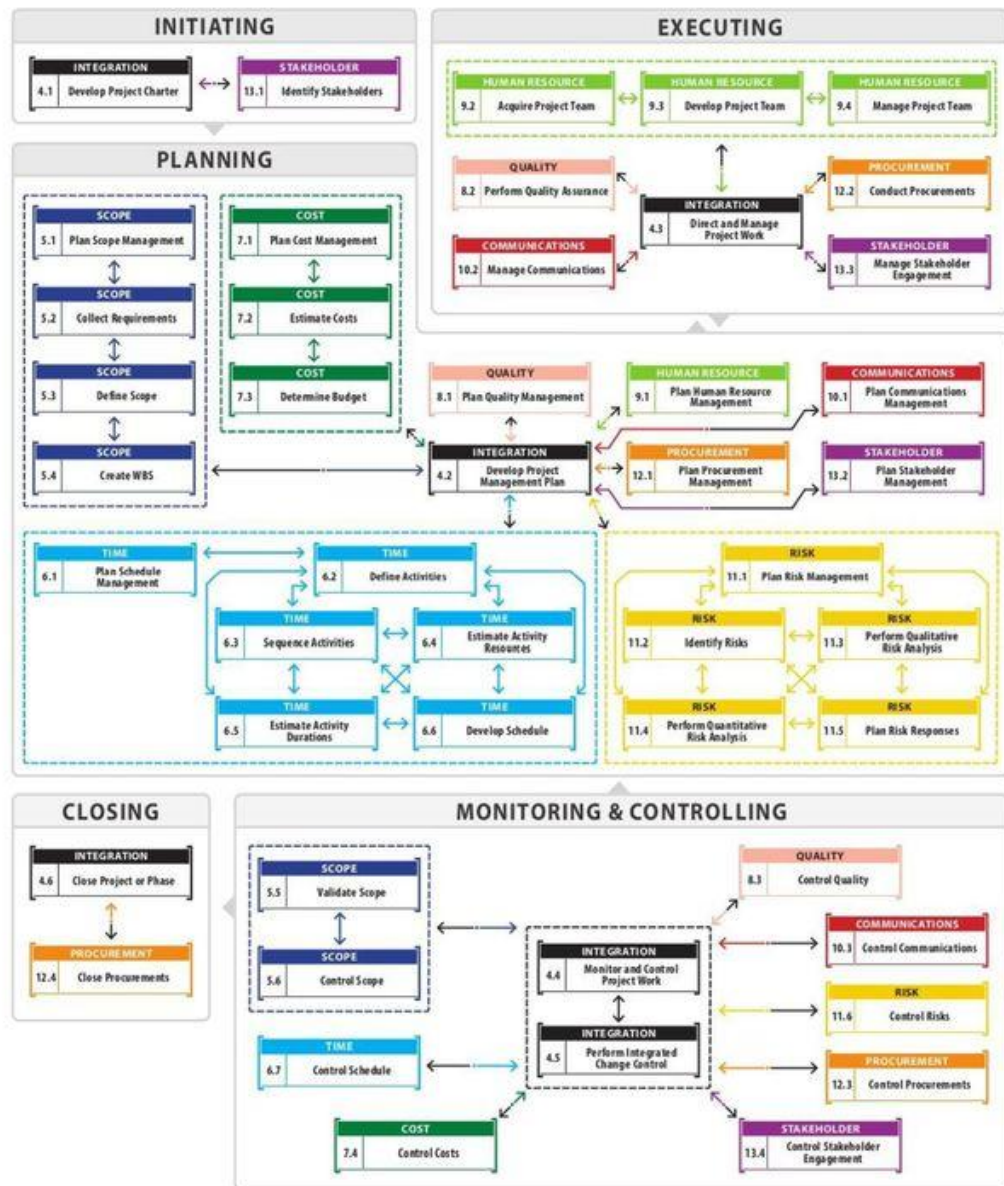
# What is Project Risk Management?

- **Project Risk Management** is - a processes of conducting risk management *planning, identification, analysis, response planning, response implementation, and monitoring risk* on a project.
- The objectives of project risk management are to increase the probability and/or impact of positive risks and to decrease the probability and/or impact of negative risks, in order to optimize the chances of project success.



# PROJECT RISK MANAGEMENT PROCESSES





PMBOK® GUIDE 5TH EDITION - 47 PROJECT MANAGEMENT PROCESSES

## PROJECT MANAGEMENT KNOWLEDGE AREAS

INTEGRATION MANAGEMENT

SCOPE MANAGEMENT

TIME MANAGEMENT

COST MANAGEMENT

QUALITY MANAGEMENT

RISK MANAGEMENT

HUMAN RESOURCES MANAGEMENT

COMMUNICATIONS MANAGEMENT

PROCUREMENT MANAGEMENT

STAKEHOLDERS MANAGEMENT

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# Trends & Emerging Practices In Project Risk Management

- ❑ **Non-event risks.** Most projects focus only on risks that are uncertain future events that may or may not occur.
- ❑ **Variability risk.** Uncertainty exists about some key characteristics of a planned event or activity or decision.
- ❑ **Ambiguity risk.** Uncertainty exists about what might happen in the future.
- ❑ **Project resilience.** The existence of emergent risk is becoming clear, with a growing awareness of so-called unknowable-unknowns.
- ❑ **Integrated risk management.** Projects exist in an organizational context, and they may form part of a program or portfolio.





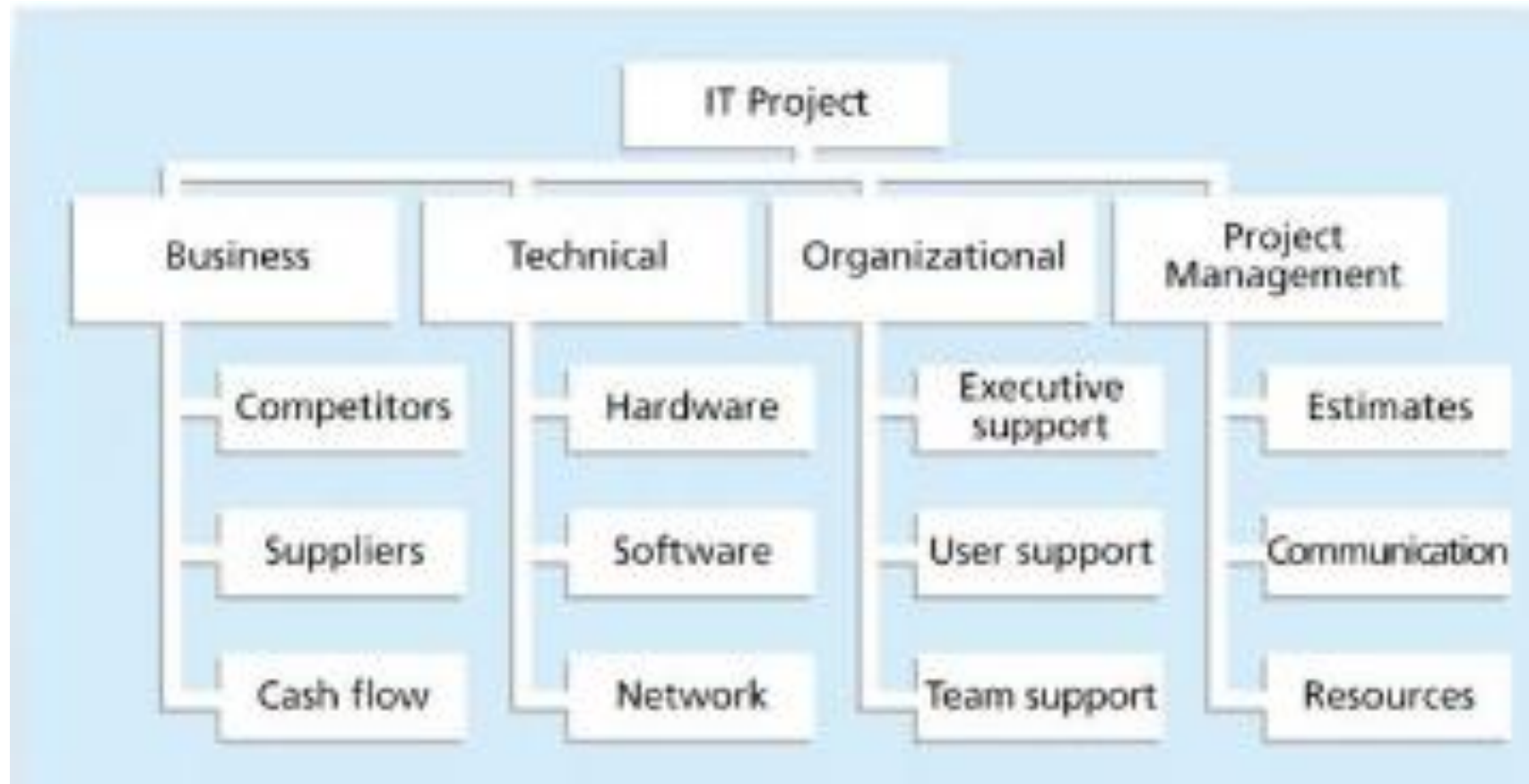
# Plan Risk Management

- ❑ **Plan Risk Management** is the process of defining how to conduct risk management activities for a project.
- ❑ The key benefit of this process is that it ensures that the degree, type, and visibility of risk management are proportionate to both risks and the importance of the project the organization and other stakeholders.
- ❑ This process is performed once or at predefined points in the project.



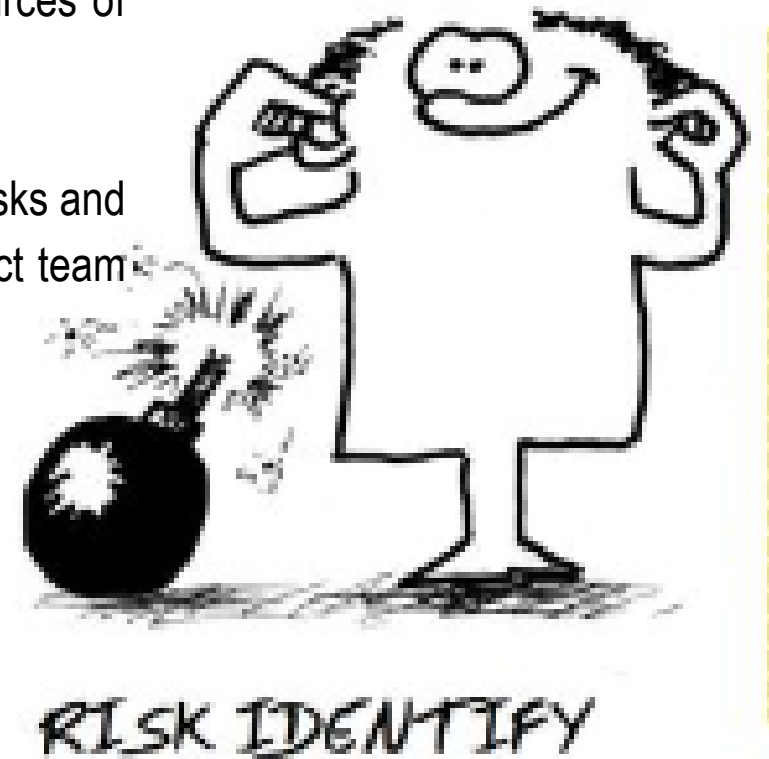


# Risk Breakdown Structure



# Identify Risks

- ☢ **Identify Risks** is the process of identifying individual project risks as well as sources of overall project risk, and documenting their characteristics.
- ☢ The key benefit of this process is the documentation of existing individual project risks and the sources of overall project risk. It also brings together information so the project team can respond appropriately to identified risks.



# Risk Register Contents

- ✓ An identification number for each risk event
- ✓ A rank for each risk event
- ✓ The name of each risk event
- ✓ A description of each risk event
- ✓ The category under which each risk event falls
- ✓ The root cause of each risk
- ✓ Triggers for each risk; triggers are indicators or symptoms of actual risk events
- ✓ Potential responses to each risk
- ✓ The risk owner or person who will own or take responsibility for each risk
- ✓ The probability and impact of each risk occurring.
- ✓ The status of each risk



# Qualitative Risk Analysis

- ☢ Perform Qualitative Risk Analysis is the process of prioritizing risks for further analysis by assessing and combining their probability of occurrence and impact.
- ☢ The key benefit of this process is that it enables project managers to reduce the level of uncertainty and to focus on high-priority risks.



# Quantitative Risk Analysis

- ☢ **Perform Quantitative Risk Analysis** is the process of numerically analyzing the effect of identified risks on overall project objectives.
- ☢ The key benefit of this process is that it produces quantitative risk information support decision making in order to reduce project uncertainty.
- ☢ Main techniques include:
  - Decision tree analysis
  - Simulation
  - Sensitivity analysis



# Plan Risk Responses

- ☢ **Plan Risk Responses** is the process of developing options, selecting strategies, and agreeing on actions to address overall project risk exposure, as well as to treat individual project risks.
- ☢ The key benefit of this process is that it identifies appropriate ways to address overall project risk and individual project risks.
- ☢ This process also allocates resources and inserts activities into project documents and the project management plan as needed.



RISK RESPONSE





# Plan Risk Responses



# Residual and Secondary Risks

- ☢ It's also important to identify residual and secondary risks
- ☢ **Residual risks** are risks that remain after all of the response strategies have been implemented
- ☢ **Secondary risks** are risks that can be a direct result of implementing a risk response

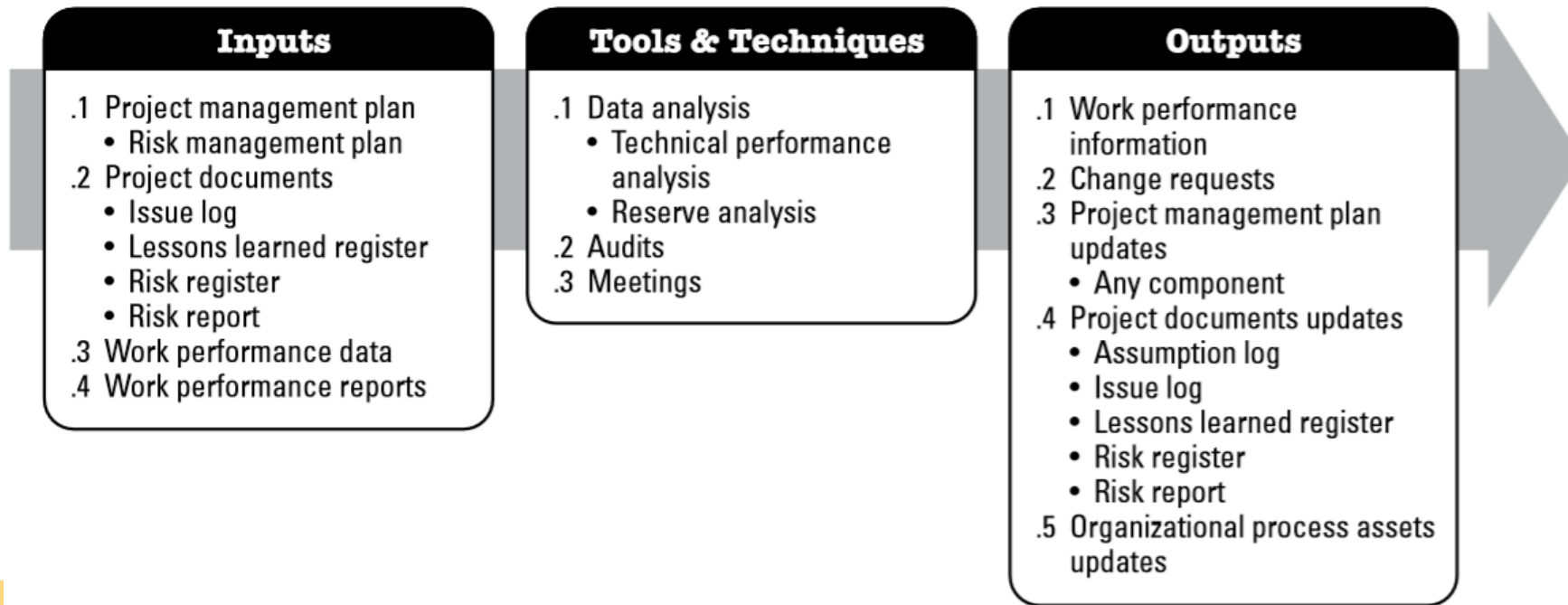


RISK RESPONSE



# Monitor Risks

**Monitor Risks** is the process of monitoring the implementation of agreed-upon risk response plans, tracking identified risks, identifying and analyzing new risks, and evaluating risk process effectiveness throughout the project.



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